

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: October 05, 2026

Latest financials: Q2 FY2026 · Model data as of 2026-10-05

HOLD

Composite · Valuation: HOLD

Target \$511.23 · -2.7% upside

Price \$525.18

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$511.23 (-2.7% vs \$525.18); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	HOLD	Blended PT \$511.23	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	NEUTRAL	Score +0.00 · 12m +2%	15%
Composite	HOLD	Score +0.08 · 50% confluence	—

Solid financial statement profile.

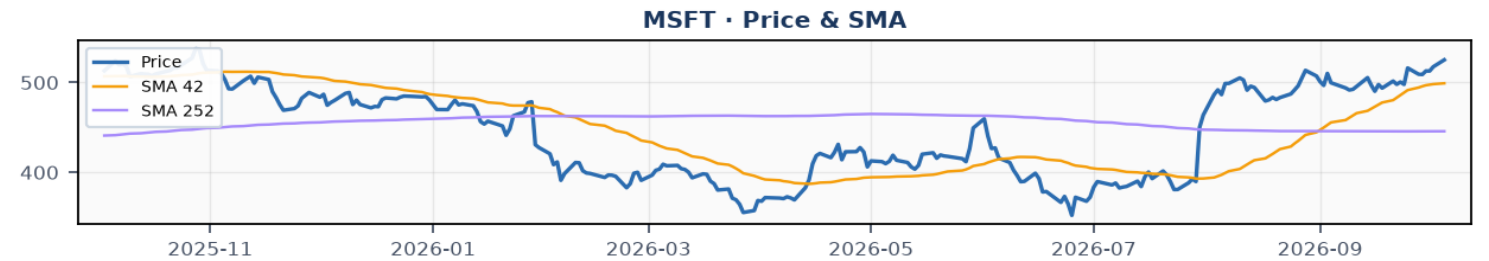
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation, a technology company, develops and supports a portfolio of technology solutions for individuals and businesses worldwide. Its... **HOLD** rating; blended target \$511.23. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$3.90T	Shares Out.	7425.5M
52-Week Range	\$349.20 – \$553.72	P/E (TTM)	29.3x
P/B	8.8x	Beta	1.10
Avg Volume	28.25M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$331.84B	Rev Growth	+17.7%
Op. Margin	45.1%	FCF (TTM)	\$66.99B
Gross Margin	67.9%	ROE	34.0%
EV/EBITDA	20.1x	Debt/Equity	29.1%
EPS (TTM)	\$17.95	Div Yield	76.0%

PRICE TREND · SMA 42 / 252



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	281,724	331,839	390,575	441,896	485,856
Revenue Growth (%)	N/A	17.8%	17.7%	13.1%	9.9%
Net Income (\$M)	101,832	133,749	157,423	178,108	195,826
Gross Margin (%)	68.8%	67.9%	67.9%	67.9%	67.9%
Net Margin (%)	36.1%	40.3%	40.3%	40.3%	40.3%
EPS (\$)	13.71	18.01	21.20	23.99	26.37
P/E (x)	38.30	29.16	24.77	21.90	19.91

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$499.14	Short-term trend	12m Momentum	+2.3%	
SMA (252d)	\$445.75	Long-term trend	3m Momentum	+37.3%	
RSI (14d)	68.3	Momentum oscillator	Ann. Volatility	28.2%	
Trend	Bullish		Sharpe Ratio	0.33	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-3.8%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$499.14, SMA252=\$445.75	Quant Score	+0.00	NEUTRAL
			SMA Backtest (ann.)	8.5%	B&H; 21.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$199.98	-61.9%	0% (excluded)	DCF diverges >55% below comparable-implied value
Comps — Blended	\$494.33	-5.9%	80%	Included in blend
Analyst consensus	\$578.82	+10.2%	20%	Included in blend
Blended target	\$511.23	-2.7%	100%	Comps 80% + Analyst 20%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.04%	4.00%	8.85%	\$1.48T	\$199.98	-61.9%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$431.93B	22.3x	16.5x	26.4%	+29.6%
CRM	Salesforce, Inc.	\$189.12B	21.0x	17.4x	22.0%	+10.8%
NOW	ServiceNow, Inc.	\$140.69B	85.0x	49.3x	11.3%	+24.0%
IBM	International Business	\$208.76B	19.7x	16.2x	15.5%	+1.1%
MSFT*	Microsoft Corporation	\$3.90T	29.3x	20.1x	40.3%	+17.7%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (17.7% YoY); High operating leverage (45.1% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.